1. Award: **0.35 points**

Which of the following might be classified as a cash equivalent?

- 30-day treasury bill.
- Cash in a checking account.
- 120-day treasury bill.
- Money orders waiting to be deposited.

A 30-day treasury bill is short-term enough to be viewed as almost as liquid as cash.

References

Multiple Choice	Learning Objective: 07-01 Define what is meant by internal control and describe some key elements of an internal control system for cash receipts and disbursements.

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2. Award: 0.35 points

A company uses the gross method to account for cash discounts offered to its customers. If payment is made *before* the discount period expires, which of the following is correct?

- Interest expense is debited for the amount of discounts taken by customers.
- → Sales discounts is debited for the amount of discounts taken by customers.
- Accounts receivable is credited for the amount of discounts taken by customers.
- Sales discounts is credited for the amount of discounts taken by customers.

The sales discounts account is contra to revenue, reducing it to the amount collected net of discount.

References

Multiple Choice	Learning Objective: 07-03 Distinguish between the gross and net methods of accounting for cash discounts.

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3. Award: 0.35 points

Allister Company does not use the allowance method to account for bad debts and instead any bad debts that do arise are written off as bad debt expense. What problem might this create if bad debts are material?

- The matching principle is violated when the write-off occurs in the same period that the receivable is initially recorded.
- Receivables likely will be understated.
- → Receivables likely will be overstated.
- No problems are created.

Receivables will be overstated because not accruing bad debts will result in the receivables being stated at an amount that is greater than the amount expected to be collected.

References

Multiple Choice	Learning Objective: 07-06 Describe how to estimate the allowance for uncollectible accounts using the CECL model.

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4. Award: 0.35 points

Jasper Company uses the allowance method to account for bad debts. During the year, the company recorded bad debt expense of $9,000 and wrote off as uncollectible accounts receivable totaling $5,000. These transactions caused a decrease in working capital (current assets minus current liabilities) of:

- $14,000
- $7,000
- $5,000
- → $9,000

Recording bad debt expense will credit the allowance for bad debts for $9,000, and writing off bad debts will debit it for $5,000 as well as crediting accounts receivable, so the net decrease in working capital will be $9,000 + 5,000 − 5,000 = $9,000.

References

Multiple Choice	Learning Objective: 07-06 Describe how to estimate the allowance for uncollectible accounts using the CECL model.

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5. Award: **0.35 points**

The Reingold Hat Company uses the allowance method to account for bad debts. During the year, the company recorded $800,000 in credit sales. At the end of the year, account balances were: Accounts receivable, $120,000; Allowance for uncollectible accounts, $3,000 (credit). If bad debt expense is estimated to be 3% of credit sales, the appropriate adjusting entry will include a debit to bad debt expense of:

- $21,000
- → $24,000
- $27,000
- Zero.

$800,000 × 3% = $24,000.

References

Multiple Choice	Learning Objective: 07-06 Describe how to estimate the allowance for uncollectible accounts using the CECL model.

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6. Award: **0.35 points**

Enchill Company accrues bad debt expense during the year at an amount equal to 3% of credit sales. At the end of the year, a journal entry adjusts the allowance for uncollectible accounts to a desired amount based on an aging of accounts receivable. At the beginning of the year, the allowance account had a credit balance of $18,000. During the year, credit sales totaled $480,000 and receivables of $14,000 were written off. The year-end aging indicated that a $21,000 allowance for uncollectible accounts was required. Enchill's bad debt expense for the year would be:

- $2,600
- $21,000
- → $17,000
- $14,400

Focusing on the allowance account, $18,000 − 14,000 + total bad debt expense = $21,000, so bad debt expense = $17,000.

References

Multiple Choice	Learning Objective: 07-06 Describe how to estimate the allowance for uncollectible accounts using the CECL model.

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7. Award: **0.35 points**

Harmon Sporting Goods received a $60,000, 6-month, 10% note from a customer. Four months after receiving the note, it was discounted at a local bank at a 12% discount rate. The cash proceeds received by Harmon were:

- $67,200
- $64,680
- $63,000
- → $61,740

Face amount ($60,000) + interest to maturity ($60,000 × 10% × ½ year = $3,000) = maturity value ($63,000).
Maturity value ($63,000) − discount ($63,000 × 12% × $\frac{2}{12}$ year = $1,260) = $61,740.

References

Multiple Choice	Learning Objective: 07-07 Describe the accounting treatment of notes receivable.

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8. Award: **0.35 points**

At the end of June, the Marquess Company factored $200,000 in accounts receivable with Homemark Finance. The transfer is made *without recourse*. Homemark charges a fee of 3% of receivables factored. During July, $150,000 of the factored receivables are collected. What amount of loss on sale of receivables would Marquess record in June?

- Zero.
- $1,500
- → $6,000
- $4,500

$200,000 × 3% = $6,000.

References

Multiple Choice	Learning Objective: 07-08 Differentiate between the use of receivables in financing arrangements accounted for as a secured borrowing and those accounted for as a sale.

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9. Award: **0.35 points**

At the end of June, the Marquess Company factored $200,000 in accounts receivable with Homemark Finance. Homemark charges a fee of 3% of receivables factored. During July, $150,000 of the factored receivables are collected. If the transfer were made with recourse but is still accounted for as a sale, what amount of loss on sale of receivables would the company record in June assuming the estimated recourse liability is $2,000?

- Zero.
- $6,500
- → $8,000
- $4,000

The recourse liability would add a credit of $2,000 which would increase the loss from $6,000 to $8,000.

References

Multiple Choice	Learning Objective: 07-08 Differentiate between the use of receivables in financing arrangements accounted for as a secured borrowing and those accounted for as a sale.

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10. Award: **0.35 points**

In a bank reconciliation, deposits outstanding are:

- → Added to the bank balance.
- Subtracted from the book balance.
- Subtracted from the bank balance.
- Added to the book balance.

The bank balance doesn't include deposits outstanding, so they must be added to determine the true cash balance.

References

Multiple Choice Learning Objective: Appendix 7A Cash Controls.

11. Award: **0.35 points**

In a bank reconciliation, NSF checks are:

- Added to the bank balance.
- Added to the book balance.
- Subtracted from the bank balance.
- → Subtracted from the book balance.

The book balance needs to be reduced by NSF checks, as it includes those amounts but should exclude them.

References

Multiple Choice Learning Objective: Appendix 7A Cash Controls.

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12. Award: **0.35 points**

Alvin Electronics is in the process of reconciling its bank account for the month of November. The following information is available:

Balance per bank statement	$ 8,325
Outstanding checks	2,400
Deposits outstanding	1,215
Bank service charges for November	35
Check written by Alvin for $300 but recorded incorrectly by Alvin as a $30 disbursement.	

What should be the corrected cash balance at the end of November?

- $7,105
- $6,870
- $6,835
- → $7,140

$8,325 − 2,400 + 1,215 = $7,140. The bank charges and correct amount of the Alvin check are already included in the balance per bank statement.

References

Multiple Choice Learning Objective: Appendix 7A Cash Controls.

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13. Award: **0.35 points**

Which of the following is NOT true about accounting for merchandise returns?

- Returned inventory also must be accounted for when considering sales returns.
- Accounting for sales returns ensures that net revenue excludes sales of goods that are expected to be returned.
- By the end of the accounting period, a refund liability is established for the amount of returns that the company estimates will occur in the future.
- → The refund liability is credited when a customer makes a return

The refund liability is debited when a customer makes a return.

References

Multiple Choice	Learning Objective: 07-04 Describe the accounting treatment for merchandise returns.

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14. Award: **0.45 points**

The CECL model:

- Is a good example of an income-statement approach to estimating bad debts.
- Considers historical experience but not forecasts of the future.
- → Allows a company to use an accounts receivable aging as part of its methodology for estimating credit losses.
- Recognizes bad debts when it is probable that an economic sacrifice has occurred.

The CECL model allows a company to apply any method that reasonably captures its expectation of credit losses.

References

Multiple Choice	Learning Objective: 07-06 Describe how to estimate the allowance for uncollectible accounts using the CECL model.

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